

Mineral & Royalty Interest Types

What each interest owns, who pays, and who signs



The mineral estate is a bundle of rights

Full mineral ownership is not one right but five, often called the bundle of sticks. Each stick can be separated and owned by a different person, and that is what makes mineral title work what it is.

The five rights	What it is
Right to develop	The right to explore for and produce the minerals, with reasonable use of the surface to do it.
Right to lease (executive right)	The power to negotiate and sign an oil and gas lease. The holder is the executive, and this stick can be severed from the rest.
Right to bonus	The right to the up-front payment made when a lease is signed.
Right to delay rentals	The right to the periodic payments that keep an unproduced lease alive under a rental-form lease.
Right to royalty	The right to a share of production once the well produces.

When an interest is called participating or non-participating, the question is whether it carries the executive, bonus, and rental sticks, or only the royalty stick.

The interests you will see

Interest	What it is	Leasing power	Costs	Revenue
Mineral interest	Ownership of the minerals, the full bundle unless a stick was severed	Yes, holds the executive right	None, unless it participates as working interest	Bonus, rentals, and royalty
Working interest	The operating interest created by the lease, held by the lessee or operator	Makes development decisions	Yes, pays all drilling and operating costs	Production, after royalties and costs
Royalty interest	A share of production reserved by the mineral owner in a lease	No	Cost-free, may bear post-production deductions	Royalty, for the life of the lease

Interest	What it is	Leasing power	Costs	Revenue
Non-participating royalty (NPRI)	A royalty carved out of the mineral estate and owned separately	No, and no bonus or rentals	Cost-free	Royalty, whoever leases the minerals
Overriding royalty (ORRI)	A royalty carved out of the working interest, the leasehold	No	Cost-free	Royalty, for the life of that lease only

Mineral versus royalty, the distinction that trips people up

A mineral interest carries the executive right and shares in bonus and rentals. A royalty interest, and an NPRI, do not. The label on a deed is not the last word: courts read the granting and reservation language to decide whether an interest is mineral or royalty, and a fraction “of the minerals” behaves very differently from a fraction “of the royalty.”

Notes for title work

Topic	Note
Follow the executive right	The power to lease can be severed from the minerals. Confirm who holds it before you take a lease, because a lease from a non-executive owner does not bind the tract.
Mineral or royalty?	Read the exact words. “One-eighth of the minerals” is a mineral interest; “one-eighth royalty” is a royalty interest. They pay out very differently.
Fixed versus floating NPRI	An NPRI can be a fixed fraction of production or a fraction of the lease royalty. Which one it is changes the math on every lease.
An override ends with its lease	An ORRI rides on a specific leasehold. When that lease terminates, the override goes with it, unlike a royalty carved from the minerals.

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